

FEDERAL MARITIME COMMISSION

DOCKET NO. 14-06

**SANTA FE DISCOUNT CRUISE PARKING, INC.
d/b/a EZ CRUISE PARKING; LIGHTHOUSE
PARKING, INC.; and SYLVIA ROBLEDO d/b/a
81ST DOLPHIN PARKING**

v.

**THE BOARD OF TRUSTEES OF THE
GALVESTON WHARVES and THE GALVESTON
PORT FACILITIES CORPORATION**

JOINT PETITION FOR APPROVAL OF PARTIAL SETTLEMENT

SYLVIA ROBLEDO, INDIVIDUALLY AND DOING BUSINESS AS 81ST DOLPHIN PARKING (“Robledo”) and THE BOARD OF TRUSTEES OF THE GALVESTON WHARVES (“Wharves”) and THE GALVESTON PORT FACILITIES CORPORATION (“GPFC”) (jointly, the “Parties”) have reached a settlement in this case and hereby petition the Federal Maritime Commission (“FMC”) to approve of the Settlement Agreement (attached as Exhibit A), dismissal of the claims they have asserted against each other in FMC Docket No. 20-09 with prejudice, and the maintenance of confidentiality of the settlement, requested pursuant to Rule 91 and 46 C.F.R. 502.5 (Rule 5).

Procedural History

On June 16, 2014, Complainants filed their verified complaint against Respondents alleging various violations of the Shipping Act with regard to access fees charged by Respondents for access to the Port of Galveston Cruise Terminal Nos. 1 and 2 (the “Terminal”) and changes made by Respondents in July of 2014 to its Tariffs regarding such access fees. The matter was assigned to Administrative Law Judge Clay G. Guthridge. On July 21, 2014, Respondents filed their verified answer to the complaint denying all allegations. On October 21, 2014, Respondent filed a Motion to Dismiss. On October 24, 2014, Complainants filed an amended verified complaint. On November 21, 2014, Judge Clay issued his Order on Pending Motions and Partial Dismissal which dismissed some of Complainants claims. This order was not appealed. The parties conducted discovery and filed their briefs and responsive briefs and supporting appendices. On December 28, 2015, Judge Clay issued his Initial Decision denying all relief to Complainants. After appeal to the Commission, the Commission issued its Order Affirming Initial Decision dismissing the complaint. Complainants appealed to the United States Court of Appeals for the District of Columbia which reversed and remanded the matter to the Commission on May 11, 2018. Lighthouse did not join in that appeal. The Commission then, on August 9, 2018, remanded the proceeding to Judge Clay. After additional briefing from the parties, Judge Clay issued his Initial Decision on Remand on November 16, 2018. On appeal, the Commission issued its Order on Initial Decision on Remand on April 16, 2021, affirming and reversing portions of the Initial Decision on Remand and remanding the proceeding for a determination of reparations and attorney’s

fees in favor of Complainants. On April 20, 2021, the Commission reassigned the remanded proceeding to the Honorable Erin M. Wirth. On May 17, 2021, Respondent files its Verified Petition for Reconsideration. Complainants responded to the Verified Petition for Reconsideration on June 1, 2021. On June 2, 2022, the Commission issued its Order Granting in Part and Denying in Part Petition for Reconsideration (“Commission Remand Reconsideration Order” or “CRRO”). In that Order, the Commission “amend[ed] the April 2021 Order to allow the parties on remand to submit argument on the correct end-date for calculating reparations on the selective enforcement claim” and permitted briefing on the proper method for calculating reparations.

On July 26, 2021, Complainants Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking and Lighthouse Parking, Inc., and Respondents Wharves and GPFC filed a Joint Petition requesting approval of a Partial Settlement between them. The FMC entered its Order Granting Partial Settlement on September 10, 2021. On November 7, 2022, Judge Wirth issued an Order on Respondent’s Motion to Submit Supplemental Evidence and Complainant’s Request for Extension of Time.

On August 30, 2022, Judge Wirth issued a Remand Reconsideration Scheduling Order. On September 30, 2022, Robledo filed her Brief on Limited Reparations Issue on Remand and her Appendix. On October 31, 2022, Wharves filed (1) its Reply Brief on Remand, (2) its Supplemental Appendix, (3) its Motion for Leave to Include Supplemental Records Regarding Decal Fees, (4) its Objections to Complainant’s Proposed Supplemental Findings of Fact, and (5) its Proposed Supplemental Findings of Fact. Subsequent to ALJ Wirth’s November 7, 2022 Order on Respondent’s Motion to Submit

Supplemental Evidence and Complainant's Request for an Extension of Time, and in response to Respondent's October 31, 2022 Reply Brief on Remand, Complainant submitted her Reply Brief on Limited Reparations Issue on Remand addressing new issues and evidence raised by Respondent's Response Brief on November 22, 2022. The ALJ's decision on the Limited Reparations Issue on Remand remains pending at this time.

On July 15, 2014, Complainants also filed a complaint in U.S. District Court seeking, among other things, a preliminary injunction under the Shipping Act to bar Respondents from enforcing the July 2014 Tariff in a proceeding styled Santa Fe Discount Cruise Parking v. The Board of Trustees of the Galveston Wharves, No. 3:14-cv-00206 in the Southern District of Texas, Houston Division (the "Federal District Court Case"). On July 26, 2021, Plaintiffs Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking and Lighthouse Parking, Inc., and Defendants Wharves and GPFC their Joint Motion to Disburse Funds and Dismiss Claims with Prejudice. On August 2, 2021, the District Court entered an Order Granting the Joint Motion. Since that time, the Federal District Court Case has remained pending, with Robledo remaining as the sole Plaintiff.

The proposed settlement resolves both this Proceeding and the Federal District Court Case in their entirety.

The Settlement Should Be Approved

The FMC has a strong and consistent policy of "encourag[ing] settlement and engage[ing] in every presumption which favors a finding that they are fair, correct, and valid.*Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 SRR 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 18 SRR 1085, 1091 (ALJ

1978)). The Commission's policies, its Rules of Practice, and the Administrative Procedures Act all encourage settlements. *See id.* at 1092. The FMC has noted:

The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Id. (citation omitted).

In determining potential approval of a settlement, the Commission examines whether the proposal "reflects careful consideration by the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation." *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 SRR 623, 636 (FMC 2009) (quoting *Delhi Petroleum Pty. Ltd. v. US. Atl. & Gulf/Australia — New Zealand Conference Columbus Line, Inc.*, 24 SRR 1129, 1134 (ALJ 1988)). However, the primary factor to be considered is the FMC's "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *APM Terminals*, 31 SRR at 625 (quoting *Inlet Fish Producers*, 29 SRR at 978) (internal quotation marks and brackets omitted).

In the instant case, the settlement is the result of arm's-length negotiations between sophisticated Parties, all of whom have been represented by counsel during the negotiation process. The proposed agreement does not contravene any law or public policy, nor is it unjust or discriminatory in any way. Additionally, this agreement will not result in any adverse effects to any third parties or on the shipping public. Indeed, the Parties' disputes concern "access fees" assessed under Tariff provisions which no longer exist. The

proposed settlement is fair and reasonable and reflects the Parties' desire to resolve their issues without the need for costly and uncertain litigation.

As a result of the foregoing, the Parties respectfully request that this Joint Petition for Approval of Settlement be granted on an expedited basis, that the Parties' settlement be approved, and that this action be dismissed with prejudice, with each party to bear its own costs and attorney fees.

Respectfully submitted by:

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**ATTORNEYS FOR THE BOARD OF TRUSTEES
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CERTIFICATE OF SERVICE

I certify that a copy of this motion was served on all counsel of record below by electronic mailing on February 7, 2023.

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